Savage Energy - Form 10-K Extract (Fiscal 2024)

Item 1. Business

Savage Energy is a energy company operating through three reportable segments: Upstream,

Refining and Renewables. Our principal executive offices are located in Denver, Colorado. As of the end of fiscal 2024, we employed approximately 65,660 people worldwide. We sell to customers in more

than 37 countries and our strategy emphasises disciplined capital

allocation, operational excellence and organic growth.

Item 1A. Risk Factors

- A downturn in global economic conditions could reduce demand for our products. We monitor this exposure through our enterprise risk management framework and report it to the Audit Committee each quarter. Insurance coverage may not be sufficient to cover all losses arising from these risks.

- Changes in interest rates could adversely affect our net interest margin and the fair value of our fixed-income investment portfolio. Regulators in several jurisdictions have increased their scrutiny of this area, which could raise our compliance costs. Although we maintain mitigation plans, there can be no assurance that these measures will be effective in all circumstances.

- Our international operations expose us to foreign-exchange volatility, sanctions regimes and differing tax laws. Although we maintain mitigation plans, there can be no assurance that these measures will be effective in all circumstances. We have experienced such events in the past and expect to continue to face them.

- Intense competition could reduce our market share or force us to lower prices. We have experienced such events in the past and expect to continue to face them. Although we maintain mitigation plans, there can be no assurance that these measures will be effective in all circumstances.

- We depend on third-party cloud providers; a prolonged outage could disrupt operations and damage customer relationships. Regulators in several jurisdictions have increased their scrutiny of this area, which could raise our compliance costs. We monitor this exposure through our enterprise risk management framework and report it to the Audit Committee each quarter.

- Climate-related regulation and physical risks may increase our operating costs. Insurance coverage may not be sufficient to cover all losses arising from these risks. We have experienced such events in the past and expect to continue to face them.

- Our indebtedness could limit our flexibility in planning for or reacting to changes in our business. Regulators in several jurisdictions have increased their scrutiny of this area, which could raise our compliance costs. We have experienced such events in the past and expect to continue to face them.

Item 2. Properties

We own or lease manufacturing, distribution, research and office facilities in North America, Europe and Asia. We believe our facilities are suitable and adequate for our current needs and that additional space can be obtained on commercially reasonable terms if required.

Item 3. Legal Proceedings

From time to time we are party to litigation, claims and regulatory proceedings arising in the ordinary course of business. While the outcome of these matters is inherently uncertain, management does not currently expect them to have a material adverse effect on our consolidated financial position.

Item 7A. Quantitative and Qualitative Disclosures About Market Risk

We are exposed to market risks from changes in interest rates, foreign-currency exchange rates and commodity prices. We use derivative instruments, principally interest-rate swaps and foreign-currency forwards, to manage these exposures, and we do not enter into derivatives for speculative purposes. A hypothetical 100 basis point increase in interest rates would not have a material effect on our interest expense given the predominantly fixed-rate nature of our

borrowings.

Item 7. Management's Discussion and Analysis

Total revenue for fiscal 2024 was $9,435 million, an increase of 16.2 percent compared with the prior year. Operating margin was 24.2 percent and net income was

$1,452 million. The Upstream segment was our largest, contributing $5,224 million of revenue.

Segment revenue:

- Upstream: $5,224 million
- Refining: $3,151 million
- Renewables: $1,059 million

Results reflected pricing actions partly offset by

foreign-exchange headwinds.

Liquidity and Capital Resources

Long-term debt totalled $1,330 million, and cash and cash equivalents were $980 million. Capital expenditures were $842 million, primarily for capacity expansion and technology infrastructure. The Board declared total dividends of $2.10 per share and authorised a $1,308 million share repurchase programme. We believe

existing cash, operating cash flow and our revolving credit facility will be sufficient to

fund operations for at least the next twelve months.